

reinforced the attraction of past, sure, old reliable earnings growth of a select group of quality companies. "One-decision stocks," the stocks that had really done the job, became the rallying cry that took these issues to what was the most speculative extreme in our generation involving really big money. My friend, John Neff, one of the best investors of our time, shook his head in disbelief, saying, "There has to be more to this game than buying a list of growth stocks and then spending the next 20 years on the golf course." This ridiculous institutional speculation, participated in by many of the greatest names in the financial community, came home to roost in 1973-74.

HISTORICALLY BASED PROBABILITIES AND SIMULATIONS

The use of historical probabilities for simulations of future portfolio returns, so much in fashion now, is the epitome of reliance on past experience as a tool. The problem with this approach is not so much that the future will be unlike the past, as assured as that is. Rather, these probabilities are used without regard to the starting point. It's obviously ludicrous to suggest that future returns and the probability of achieving them are the same from beginning levels of valuations that are significantly different. Such an approach would suggest that the future holds the same probabilities of given levels of return over, say, five or ten years, from today's valuation levels for stocks as it did in 1972. To say that optimum portfolios can be constructed using historically derived probabilities just has to be nonsense, unless we recompute the probabilities from various valuation levels for equities, or unless one is using time periods that are so long as to be meaningless in the investment lifetimes or careers of individuals. Long before history has had time to prove itself, there will be new people with new prescriptions making the decisions.